

upward moves, a close above point B represents a breakout. For downward moves, a close below C, the lowest low in the pattern, is the breakout price.

The September and December scallops have upward breakouts, but the February scallop breaks out downward. Since the overall price trend is downward, notice how the upward breakouts stall as price bumps against an imaginary trendline (not shown) following the price peaks starting from the far left. The trendline acts as overhead resistance.

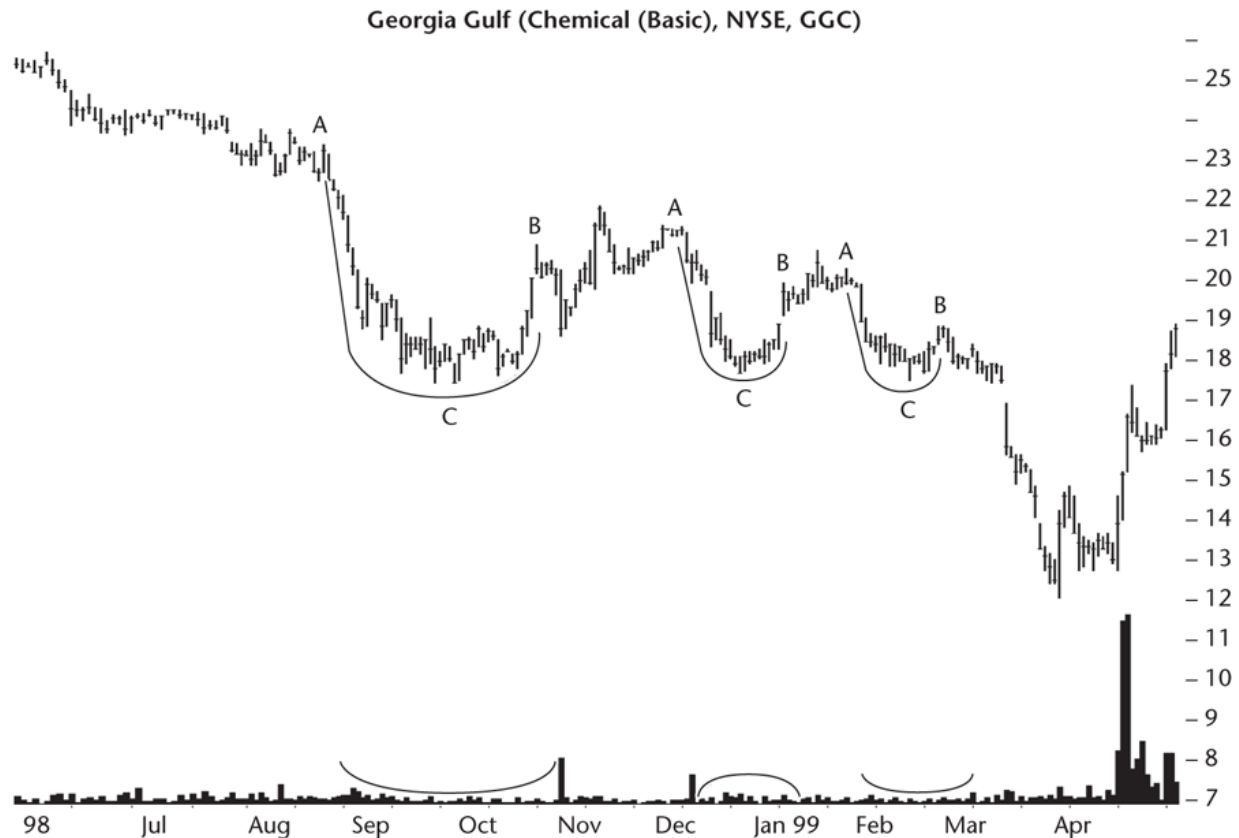


Figure 59.1 Three descending scallops appear in a declining price trend. Notice how they get narrower and shorter along the trend.

All three scallops rest on a pier of support at C. The scallop bottom is a common resistance zone. I say resistance because, for downward breakouts, price will push through the support zone, but a pullback attempt will often stall there, so underlying support turns into overhead resistance. In future up moves, price often stalls near the base of a scallop, so keep that in mind even if you do not trade these patterns.